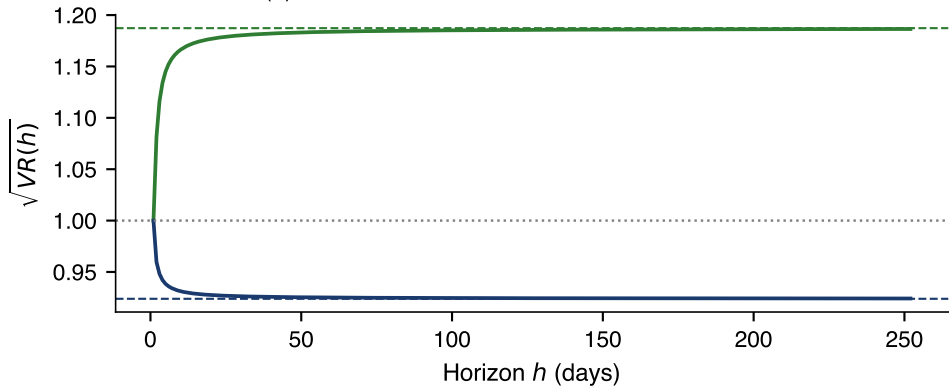


Illustrative AR(1) calculation: correction factor of the $\sqrt{h}$ rule



— EUR/RON, $\hat{\rho}_1 = 0.170$ — S&P 500, $\hat{\rho}_1 = -0.079$ Independence benchmark: 1